520 MW Coal-Fired Thermal Power Facility

COMPREHENSIVE PROJECT BRIEF NOTE & HISTORICAL EVOLUTION (PAGES 1–12)

BBI Power Krishnapatnam Company (BBI Power Inc.) is developing a state-of-the-art 520 MW (2x260 MW) coal-fired thermal power generation facility located on the East Coast of India, on the Bay of Bengal, outside Krishnapatnam village, Nellore District, Andhra Pradesh.

1. PROJECT DEVELOPMENT HISTORY & INTERNATIONAL COMPETITIVE BIDDING (ICB)

Originally conceived by the APSEB in 1990, the project was offered to International Independent Power Developers on a negotiated basis when the Indian Government's privatization program took effect in 1991. In early 1993, encouraged by the World Bank, APSEB invited international bids under a two-part evaluation scheme.

Over 20 international companies submitted proposals. Twelve companies were shortlisted after Part A (financial capability), which were further narrowed to four following Part B (technical and financial specifics) evaluated independently by ICICI. On the recommendation of the International Finance Corporation (IFC), the project was structured into independent 520 MW facilities with dedicated coal unloading capabilities.

BBI Power was formally awarded the project through this rigorous ICB process, culminating in the signing of a Letter of Intent (LOI) in July 1996 and a 30-Year Initial Power Purchase Agreement (PPA) with APSEB on July 9, 1999 (amended and restated flexible-rate PPA covering all generated power for 30 years).

2. CAPITAL COST & FINANCIAL PACKAGE

TECHNO-ECONOMIC CLEARANCE (CEA)
$355.131 Million + ₹960.614 Crores

HISTORICAL BASE COST (@ ₹35.5/$)
₹2,221.22 Crores

REVISED INDEXATION (USD PARITY)
₹3,900 Crores (~₹7.50 Cr/MW)

EARMARKED PROJECT LAND (GOAP)
831.50 Acres (Govt. Allotted)

The Techno-Economic Clearance (TEC) issued by the Central Electricity Authority (CEA) in June 1998 stipulated that delivered cost of imported coal shall remain competitive. Capital costs absorb all contingencies, civil works (~₹150 Cr), and initial registration charges (~₹10 Cr), with flexible tariff structuring protecting project viability.

3. SITE CHARACTERISTICS & PHYSICAL ENABLING WORKS

The Krishnapatnam "B" Thermal Power Station site is situated on the Bay of Bengal coastline, approximately 26 km southeast of Nellore Town. The land area is bounded by the sea on the East, the historic Buckingham Canal on the West, a natural salt creek on the South, and borders the Krishnapatnam "A" Station on the North.

Extensive enabling works completed by BBI Power include:

- Detailed land survey and zoning for main power island, switchyard, ash pond, and cooling infrastructure across 831.50 acres earmarked under G.O. Ms. No. 53 (Dt. 23-01-1993).
- High-Tide Line demarcation certified by the National Institute of Oceanography (NIO), Goa.
- Construction of an engineered causeway across the Buckingham Canal and heavy-duty approach roads (actively utilized by APSRTC public transit serving local fishing communities).
- Formal bridge construction approval across the Buckingham Canal issued by the Central Designs Organization (CDO Lr. No. CE/CDO/CI/DEEI/03/30-11-1999).
- Seawater intake and outfall permits with dedicated environmental monitoring and integrated desalination plant.
- Interconnection engineered directly into AP Transco's 400 KV transmission network and the National Grid.

4. HISTORICAL EVOLUTION & TIMELINE OF ACTIVITIES (1998–2015)

July 1998 – July 1999
Joint venture discussions with NCC, high-level CEA coordination, and execution of the landmark 30-Year PPA with APSEB (July 9, 1999).

2000 – 2004
Securing of State Government guarantees, MOEF Jetty clearances, Canara Bank debt consortium correspondence, and DISCOM load assignment deliberations.

2007 – 2008
High-level US promoter delegation (Mr. Paul B. Pragar & Mr. D. Holliday) 30-day visit to India; direct deliberations with Hon'ble Chief Minister Dr. Y.S. Rajasekar Reddy resolving 832-acre land procurement.

2010 – Management Transition
Following promoter restructuring, complete ownership and stewardship of BBI Power was transferred to new Indian leadership under Managing Director Sri Kassetty Subramanyam.

2013 – 2014
Submission of comprehensive project appeals to the Government of Andhra Pradesh; favorable legal validation rendered by the Minister of Laws (DD LR No. 012/M (L&C)/10.02.2014).

2014 – Present Day
Personal submission of statutory files to Hon'ble Chief Minister Sri N. Chandrababu Naidu—the visionary leader who originally allocated the project in 1996 under ICB—ensuring strong strategic alignment for rapid project realization.

5. CORE STRENGTHS & PRESENT PROJECT STATUS

PPA VALIDITY

Active 30-Year Flexible-Rate PPA

STATUTORY CLEARANCES

32 Complete Clearances on Record

All core licenses, permissions, and PPA frameworks remain in good standing. Environmental and pollution renewals proceed systematically upon completion of final land registry handing over by the Government of Andhra Pradesh.